Aeroflex Enterprises Ltd: Concall Tracker

Q2 FY27 update (Jul-Sep 2026 quarter) · Report date: 7 Nov 2026 · BSE: 511076 · NSE: AEROENTER

Not investment advice. Do your own due diligence. This company holds no earnings calls, so this report is a web deep-dive using its results, investor deck and exchange filings up to 5 Nov 2026.

> **Read this first:** Aeroflex Enterprises (the old SAT Industries) is a holding company. It owns about two-thirds of listed hose maker Aeroflex Industries, a majority of listed Aeroflex Neu (packaging, now buying valve and cable makers), a small lending arm (Aeroflex Finance) and a portfolio of start-up stakes. Its own books are thin, so judge it on the group (consolidated) numbers.

1. Snapshot

What it does: buys or builds stakes in businesses, earns from the ones it runs, and books one-off gains when it sells. Last quarter was a sale quarter (M.R. Organisation). This one shows what the group earns without a sale.

MARKET CAP

≈₹1,354 cr

What the market values the whole group at (price about ₹120).

Q2 FY27 GROUP REVENUE

₹250 cr

Up 45% on last year's ₹172 cr. Hoses made up about four-fifths of it.

Q2 FY27 GROUP PROFIT

₹38 cr

Up 87% on last year, down from Q1's ₹103 cr sale-boosted figure. Owners' share ₹26 cr.

GROUP OPERATING MARGIN

13%

Operating profit per ₹100 of sales, before other income. 17% a year ago, 9% last quarter.

OTHER INCOME

₹27 cr

Up from ₹8 cr a year ago. Not broken down. Without it, pre-tax profit would be about half.

VALUATION

≈8× trailing profit

Looks cheap, but the trailing profit still holds Q1's one-off sale gain.

Read: the hose business is doing almost all the earning. The rest of the group, lending and packaging, lost money this quarter.

2. Coverage: no concalls, global web deep-dive

No concall transcripts were available on Screener. This report is based on a global web deep-dive. Screener lists only investor presentations for this company, never transcripts.

Period	Source	Read?
FY24 to Q1 FY27 (to 30 Sep 2026)	Investor decks, filings, news	Carried forward from the Q4-2026 and Q1-2027 reports
Q2 FY27 (board meeting 4 Nov 2026)	Consolidated and standalone results with segments, balance sheet and cash flow (BSE, 4 Nov); Q2 & H1 FY27 investor presentation (4 Nov); board outcome (Fredrick Pinto, ₹25 cr into Aeroflex Finance); Aeroflex Neu warrant conversion filing (5 Nov); Aeroflex Industries Q2 results coverage (28 Oct, Angel One, Multibagg, Arthneeti); Screener shareholding	Newly read in full ★

Only the Jul-Sep 2026 quarter and filings up to 5 Nov 2026 were read fresh. The backstory comes from the prior reports.

★ **Latest update highlights: Q2 FY27 results (Jul-Sep 2026, filed 4 Nov 2026)**

- **Profit ₹38 cr, up 87% on last year, back from Q1's ₹103 cr.** The owners' share was ₹26 cr, and the parent's two-thirds slice of the hose maker's ₹37 cr profit is about ₹24 cr. Read: with the sale gain gone, group profit is basically the hose stake.
- **Hose maker Aeroflex Industries: income ₹208 cr, up 87%, operating margin 24% (23% a year ago).** The deck says it signed a long-term deal with a US-listed company worth about $141 billion to supply liquid-cooling parts for data centres, and has received "major orders" under it. Read: the crown jewel keeps firing. One catch: it switched its depreciation method from 1 Apr 2026, so its quarterly depreciation fell from ₹6 cr to under ₹1 cr, which flatters the profit jump.
- **Lending arm swung to a loss.** The financing segment lost ₹18.7 cr before interest and tax, against a ₹3.8 cr profit a year ago. The half-year cash flow shows ₹52.8 cr of bad debts against nil last year. The deck doesn't mention it and still shows the lender with a positive return. The board approved putting up to ₹25 cr more into Aeroflex Finance. Read: the biggest new red flag.
- **Aeroflex Neu changes shape.** It sold its Fibcorp packaging subsidiary on 7 Sep 2026 (₹4.5 cr loss), finished buying 51% of Stilonn Valves on 23 Oct, and approved buying 55% of Aerolex Cables on 30 Oct, pitching itself as an "AI infra and data centre platform". The parent's stake rose from 55.5% to 58.6% via warrants. Read: the weak packaging arm is being turned into a parts maker for data centres. Too early to judge.
- **New senior hire:** Fredrick Pinto joins as Group Vice President, Legal and Compliance (ex-Greaves Cotton, a decade in lending firms). Still no guidance and no call.

Business mix & capacity

Geography: about 52% of Q2 group income came from outside India (₹144 cr of ₹277 cr). Read: half the group sells abroad, mainly through the hose maker. Aeroflex Neu says 60% of its sales are exports. Capacity: the hose maker cites 20 million metres a year of steel hose and 12,000 skid assemblies a year (the liquid-cooling units). Group capital work-in-progress rose from ₹23 cr to ₹73 cr in six months. Read: money is going into new capacity. Utilisation is not disclosed.

★ **Since our last report** (builds on the Q1-2027 report, coverage through 30 Sep 2026)
Prior verdicts: Trigger **MAYBE** · Consistency **MAYBE**

Prior read	What we said then	What Q2 FY27 shows	Movement
Trigger	Lumpy stake sales; hose stake is the real value	Hose maker up 87% with a big US liquid-cooling deal; lending and packaging lost money	Confirmed
Consistency	Did what the model says, thin disclosure	Lending write-offs not explained; deck contradicts the segment table	Slipping
Sale gain won't repeat; profit falls to hose earnings	Q1 profit was mostly the MRO gain	Profit ₹38 cr; owners' ₹26 cr matches the hose slice of about ₹24 cr	Confirmed
Parent costs jumped with no explanation	Standalone costs about ₹26 cr in Q1 vs a usual ₹1-2 cr	Parent's own costs back to normal (other expenses ₹0.35 cr), but still no explanation, and ₹52.8 cr of bad debts show up in the half-year cash flow	Partly

Checkpoint results: Delivered | Partly

1. Delivered: profit fell back to roughly the parent's share of the hose maker's profit.
2. Partly: the parent's own cost line went back to normal, but no reason was given, and the hit now looks like loan write-offs sitting in the lending segment.

Verdict change: trigger unchanged. Consistency stays MAYBE but is weaker: a lending loss of this size with no word on it is exactly the disclosure gap we flagged.

3. Earning trigger thesis

The real engine is Aeroflex Industries' liquid-cooling business for data centres, now backed by a long-term supply deal with a very large US-listed company. Group profit this quarter is roughly the parent's share of that hose profit and little else. The second hope, stake sales, delivered in Q1 but nothing new is lined up. Against that, the lending arm wrote off loans and lost money, and Aeroflex Neu is spending to turn packaging into a valves-and-cables play.

Trigger	What the record shows	Evidence so far	Horizon	Strength	Change since last report
Aeroflex Industries stake	About two-thirds of a fast-growing hose and liquid-cooling maker	Q2 income up 87%, margin 24%; long-term US deal with major orders	Ongoing	STRONG	↑ improving: named anchor customer
Buy-build-sell stake sales	IPO of Aeroflex Industries, sale of MRO	One partial start-up exit in H1; no big sale named	Event-driven	MODERATE, lumpy	Unchanged
Aeroflex Neu pivot to data-centre parts	Sold Fibcorp, bought Stilonn Valves, Aerolex Cables approved	Neu lost ₹3.9 cr in Q2; deals not in numbers yet	1-2 years	UNPROVEN	New story
Aeroflex Finance (lending)	Small lender working with fintech platforms	Segment loss ₹18.7 cr; ₹52.8 cr bad debts in H1	Uncertain	WEAK	↓ weakening

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt is already tiny; nothing said.
New business	Yes	Aeroflex Neu "completed 51% stake acquisition in Stilonn Valves" and approved buying 55% of Aerolex Cables, to "build an AI infra and data centre platform" (deck, 4 Nov 2026).
Margin up	Yes	Hose maker's operating margin 24.3% vs 23.3% a year ago (deck, 4 Nov 2026). Group margin fell.
New management	No	Only a senior legal and compliance hire (Fredrick Pinto, 4 Nov 2026); no new CEO, MD, CFO or chair at the parent.
New capacity	Yes	Hose maker lists capacity of "12,000 skid assemblies per annum" (deck, 4 Nov 2026); capital work-in-progress up from ₹23 cr to ₹73 cr.
Big orders	Yes	"Signed a long-term agreement with a listed U.S. corporation... to supply liquid cooling solutions for data centres. Received major orders under this agreement" (deck, 4 Nov 2026).
Turnaround	No	Nothing said.
Promoter buying	No	Not stated by the company. (Shareholding data shows the promoter stake edged up from 52.30% to 52.45% in the Sep quarter.)

Single concrete driver: Aeroflex Industries' liquid-cooling skids for data centres, now under a long-term supply deal with a large US-listed company.

3c. Margin bridge

Group operating margin was 13% this quarter against 17% a year ago. The hose maker's margin went up, so the fall came from the rest: the lending arm's loan write-offs, a loss at Aeroflex Neu, and the profitable MRO business no longer being in the group. Management gave no reason for the lending loss. If the write-offs stop, this is a one-time hit, but nothing in the filings says they have. (one-off)

4. Management consistency scorecard

Period	What was promised / the model	What actually happened	Verdict
FY24	Monetise Aeroflex Industries via IPO	IPO done, large gain booked	Delivered
FY26 to Q1 FY27	Sell MRO to Ingersoll-Rand for ₹227 cr	Closed 30 Apr 2026, gain booked in Q1	Delivered
FY25 to Q2 FY27	Grow Aeroflex Industries in data-centre cooling	US anchor deal, income up 87% this quarter	Delivered
FY25 to Q2 FY27	Move Aeroflex Neu into high-end bulk bags	Sales flat, losses; now selling Fibcorp and buying valves and cables instead	Dropped
Oct 2025	Enter digital via Dev IT warrants	No update	Too early
Ongoing	Disclosure	Lending loss and bad debts not explained; Q1 parent cost jump never explained	Weak

Narrative drift: the holding-company story is steady and the hose bet keeps paying. The packaging story has quietly changed from "premium bulk bags" to "AI infra platform" through acquisitions, and the deck frames the whole group as an "AI Infra Platform". The bigger issue is still disclosure: the deck shows the lender with a positive return while the segment table shows a loss, and the board is adding money there without a word on why.

5. Bottom line: two verdicts

Durable earning trigger? → MAYBE vs last quarter: unchanged
The US liquid-cooling deal strengthens the hose stake, and group profit now tracks it closely. But that's one subsidiary. The rest of the group took away profit this quarter, the packaging pivot is unproven, and no stake sale is lined up. A real driver, owned at one remove.

Management consistent? → MAYBE vs last quarter: unchanged (weaker)
They did what they said on MRO and keep backing the hose maker. Against that, two quarters in a row brought a large unexplained hit (parent costs in Q1, lending write-offs in Q2), the packaging story changed, and there's still no call or guidance. Close to a No on disclosure.

★ 6. Checkpoints for next quarter

- The lending segment is back to a profit in the Q3 segment table.
- Aeroflex Industries' quarterly income holds at or above Q2's ₹208 cr.
- The Aerolex Cables deal closes and starts adding to Aeroflex Neu's sales.

Sources: Aeroflex Enterprises unaudited consolidated and standalone results for the quarter ended 30 Sep 2026, with segments, balance sheet and cash flow (BSE, 4 Nov 2026); Q2 & H1 FY27 investor presentation (BSE, 4 Nov 2026); board meeting outcome (4 Nov 2026); Aeroflex Neu warrant conversion filing (5 Nov 2026); Screener.in (AEROENTER) results and shareholding; Aeroflex Industries Q2 FY27 coverage (Angel One, Multibagg, Arthneeti, 28 Oct 2026); Q4-2026 and Q1-2027 Concall Tracker reports for backstory. No concall transcripts exist for this company. Not investment advice.